social unrest in disadvantaged regions and socioeconomic sectors.[41] As Prime Minister Manmohan Singh puts it, such "equity concerns . . . can do incalculable harm to the cohesion of our polity. We need therefore to focus our attention on this as a matter of high national priority."[42]

Other problems include the desperate state of India's public education system. Approximately 33 percent of children fail to complete five years of schooling, and about the same percentage of the population is illiterate.[43] India's physical infrastructure is also a shambles and badly in need of large-scale investment. The resulting lack of transportation facilities has damaged India's agricultural sector, which loses 30 to 40 percent of its produce to waste. Agricultural growth declined from 6 percent to 2.7 percent between 2006 and 2007. Analysts believe that the Indian government will need to spend roughly $150 billion per year, rather than the $30 billion that it has earmarked for yearly infrastructure expenditure, if the country is to sustain robust economic growth. India's natural environment is also increasingly under threat. The burning of fossil fuels and industrial production that are part and parcel of economic expansion are also damaging India's air and water. A recent Blacksmith Institute report listed two Indian cities in its top ten most polluted places in the world.[44] According to a report by the Chittaranjan National Cancer Institute, more than 46 percent of Delhi's population suffers impaired lung function due to air pollution.[45] Such widespread damage to public health can undermine productivity and impede further economic growth. Finally, despite extensive reforms, the Indian economy continues to labor under a stifling regulatory regime. According to the World Bank, in 2006, India ranked 134th out of 175 countries in ease of doing business.[46] Therefore, India might not continue its rapid economic growth. Expansion could stall if a large segment of its people remain malnourished and uneducated, its ports and roads are inadequate to move goods and services efficiently throughout the country, or punitive regulations impede wealth creation.

Indian economic growth, then, is not only extremely important to the country's future but is also potentially fragile. As a result, New Delhi hopes to avoid continued Indo-Pakistani conflict. More strife